

- For each market, gold, S&P, oil, etc., we check the steepest point in the curve.
- For contango markets, we require a minimum annualised slope of 15% to enter a short.
- In the case of backwardation, we're happy with 7.5% slope, tilting the exposure slightly towards the long side.
- If so, we take a position and hold until next week. Long for backwardation, short for contango.
- Positions are, in the interest of simplicity, equal-sized with a target total gross portfolio exposure of 200%.
- And that's it!

No time series data used, no technical analysis, indicators, not even any stop loss points or so-called money management schemes applied. All we did was to check the futures chain, do a simple implied yield calculation and trade off that. There has been no optimisations or other tricks involved here, and I can assure you that it's quite easy to improve upon these rules and build something better. Still, let's see how this odd-looking model pans out in a backtest.

If you have never been exposed to the concept of term structure before, this all may still seem a little confusing. I can assure you that it's really quite simple, despite the odd-sounding terminology. All you do is to check the current prices of each point in the futures chain once a month, calculate the implied yield, and you're ready to trade.

The question now is, of course, if this simple model, without any time series data at all, can hold up to a classic trend-following model.

In Figure 8.5 we see that even this simplified approach to pure term structure trading actually performs quite well. We had a brief period of underperformance in the first couple of years, but, after that, the outperformance was quite consistent. We also see how trend following as a strategy levelled off and slowed in performance, as we should know quite well after the year-by-year Chapter 6, but the term structure approach showed no such deterioration. For both of these curves in Figure 8.5, slippage and commissions have been accounted for, but management and performance fees have not.